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Case Number: 24STCV31024 Hearing Date: August 20, 2026 Dept: 1

MOTION

TO STAY PENDING APPEAL AND FOR PROTECTIVE ORDER

Moving Party: Defendant Brighton

Convalescent, LLC (Fisher & Phillips LLP)

Responding Party: Plaintiff Jane Moreno Penaflorida (Bibiyan

Law Group)

Ruling: Motion to stay is

DENIED.

This is a wage and hour putative class action. Plaintiff Jane Moreno Penaflorida (Plaintiff) alleges that she and others were employed by defendant Brighton Convalescent, LLC, doing business as Brighton Care Center (Defendant), during which employment Defendant committed various violations of labor law.

On April 17, 2026, the Court denied Defendant's motion to compel arbitration. Defendant has appealed that ruling. Defendant now moves for a stay pending appeal.

DISCUSSION

The California Arbitration Act (CAA)

provides that "[n]otwithstanding Section 916, the perfecting of [an appeal of an order denying a petition to compel arbitration] shall not automatically stay any proceedings in the trial court during the pendency of the appeal." (Code Civ. Proc. § 1294(a).)

Defendant first contends that section 16(a) of the Federal Arbitration Act (FAA), 9 U.S.C. § 16(a), requires a stay while an appeal of the motion to compel arbitration is ongoing, and preempts the CAA on this point. Plaintiff responds that the FAA's procedural provisions, including section 16(a) and the law interpreting it, do not apply in state courts, citing *Quach v. California Commerce Club, Inc.* (2024) 16 Cal.5th 562. (See *Id.* at 582 [“Although the CAA's procedural rules apply by default to cases brought in California courts, including those in which the FAA governs the arbitrability of the controversy, the FAA's procedural rules may apply if the parties expressly agree they do or if the CAA's procedural rules are preempted.”]) On reply, Defendant does not dispute this point but asserts its fallback position that *Quach* and cases founded in the FAA like *Coinbase, Inc. v. Bielski* (2023) 599 U.S. 736 (*Coinbase*) still permit the Court to enter a discretionary stay, even if one is not mandated. The Court regards the preemption argument as abandoned. Even if it were not, it is unmeritorious. First, no California decision to this Court's knowledge has held that Code Civ. Proc. § 1294(a) is preempted by the FAA. The stay imposed in *Coinbase* did not arise from the FAA (which says nothing about stays), but from the application of the federal *Griggs* principle that “a federal district court and a federal court of appeals should not attempt to assert jurisdiction over a case simultaneously” and that any appeal “divests the district court of its control over those aspects of the case involved in the appeal.” (*Coinbase, supra*, 599 U.S. at 744, citing *Griggs v. Provident Consumer Discount Co.* (1982) 459 U.S. 56, 58.) The California Legislature has decided that any similar principle in California ought to have an exception for unsuccessful motions to compel arbitration, and so it amended Code Civ. Proc. § 1294(a) to operate as it now does, with the right to seek a discretionary stay but not to enjoy an automatic one.

The Court next turns to Defendant's request for a discretionary stay. Defendant argues that it will be forced to spend time and resources responding to discovery and litigating in this Court that might be wasted should the Court of Appeal reverse the order denying the motion to compel arbitration. That is so in every case in which an arbitration denial is appealed. To hold that this routine circumstance justifies a discretionary stay is to hold that a

stay is always justified, the reverse of the California Legislature's determination that a stay of an arbitration denial should not be automatic.

Defendant argues that the delay Plaintiff faces would not be prejudicial. This too is the opposite of the California Legislature's determination that the delays occasioned by stays pending appeal of arbitration motions "pose[] significant difficulties for consumers and employees, due to the inherent power dynamic between them and the opposing businesses and employers." (Assem. Com. on Judiciary, Analysis of Sen. Bill No. 365 (2023-2024 Reg. Sess.) as amended May 18, 2023, p. 5 ["Through this process, powerful corporations delay cases filed against them typically one to three years."], <[https://leginfo.ca.gov/faces/billAnalysisClient.xhtml?](https://leginfo.ca.gov/faces/billAnalysisClient.xhtml?bill_id=202320240SB365#>)

bill_id=202320240SB365#>, accessed August 17, 2026.) The legislative analysis documented the views of the Office of the Attorney General, consumer and employment legal associations, labor unions and consumer protection groups that the amendment was necessary to combat the trend of "[p]owerful corporations abus[ing] this appeal right to force lengthy delays of plaintiffs seeking justice – during which time important documents disappear, key witnesses move away, and witnesses' memories fade[.]" (Id., p. 10.)

Again, there is nothing extraordinary about this case, and so a delay would likely be prejudicial to Plaintiff for the same reasons feared by the Legislature.

Defendant contends it will need to "restart" discovery in arbitration should it prevail but does not indicate why this would be the case. Surely any discovery conducted before this Court which is useful to litigating Plaintiff's individual case will not need to be redone; it is only the additional discovery not useful in arbitration that would be wasted, a concern the Legislature and this Court both consider insufficient to support a stay.

Defendant argues that if the litigation is not stayed, it will be exposed to a waiver-by-litigation argument should it seek to compel arbitration upon prevailing. This make-weight argument is entirely meritless.

Court litigation after a motion to compel has been erroneously denied and a stay has been refused is not a waiver of the right to compel arbitration, because the moving party has no other choice.

The prosecution of the appeal is a sufficient assertion of the right to preserve it against a claim of waiver.
Nothing Defendant presents is to the contrary.

Finally, Defendant argues that a stay would promote the orderly course of justice, because the appeal will determine whether the causes of action should remain before this Court or go to arbitration. Again, that is a circumstance always present when a court denies a motion to compel arbitration, and to ground a stay on that circumstance would essentially revive the automatic stay the Legislature has abolished. The orderly course of justice is not served by holding up litigation where the Court has already determined that the arbitration agreement at issue is unconscionably oppressive and overbroad.

Alternatively, or in addition to requesting a stay, Defendant requests a protective order relieving it of the need to substantively respond to Plaintiff's discovery, which it contends is overbroad and burdensome. Defendant's request for a protective order is essentially a request for a stay, in that it would halt all discovery that might be rendered unnecessary should the Court of Appeal reverse the denial of the motion to compel arbitration. Given that there is no enforceable arbitration agreement in this matter and litigation is proceeding in court, Plaintiff's discovery requests are seemingly within the scope of discovery, and no protective order is warranted. The request is denied.

CONCLUSION

For the foregoing reasons, Defendant's motion is
DENIED in full.